

How parenthood shapes the gender wage gap

Relative to men without children (ages 25–44)

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1 Gender inequality still exist

test reference(United Nation, n.d.)and(Canadian Human Rights Commission 2025)and(Bank of Canada 2020)and(Kaufman and Colyar, n.d.)and(Lee 2018)and(Statistics Canada 2022)! In recent years, in order to address problems such as gender discrimination and the undervaluation of women’s work, many countries and regions promote equal pay for work of equal value and the economic empowerment of females. (1.) As one of these regions, Canada has made continuous progress in addressing gender inequality in employment, but the pay gap remains stubbornly persistent. Women with full-time jobs still earn significantly less than men on average, and this gap is even wider for Indigenous women, women of colour, women with disabilities, and others who face systemic and intersectional barriers.(2.) In this context, an important question arises: Why does the gender pay gap persist even after policies like equal pay for equal work have been implemented? Education and occupation are often cited as explanations, but the data tells a more complex story, which lies at the crossroads of work, gender, and motherhood.

2 Educational disparities are not enough to explain the problem:

A common hypothesis attributes wage differences to education and occupation gaps. In general, higher education means a greater chance of entering occupations with higher average salaries(3.), so if most women choose to work early instead of continuing to obtain higher education, they may lose the opportunity to access high-paying occupations. However, this explanation no longer holds. In fact, women are more likely than men to pursue postsecondary studies, and they represent the majority of bachelor’s degree, college certificate and diploma holders(4.).In addition, across all education levels and occupations, women’s earnings are always lower than men’s. At the same level of education, the wage gap exceeds 15%, and even within the same occupation, the smallest gap between men and women is still about 9.1%. Although higher education and occupational choices may help narrow the gender pay gap, it never fully disappears.

Gender pay gap by industry(gai)

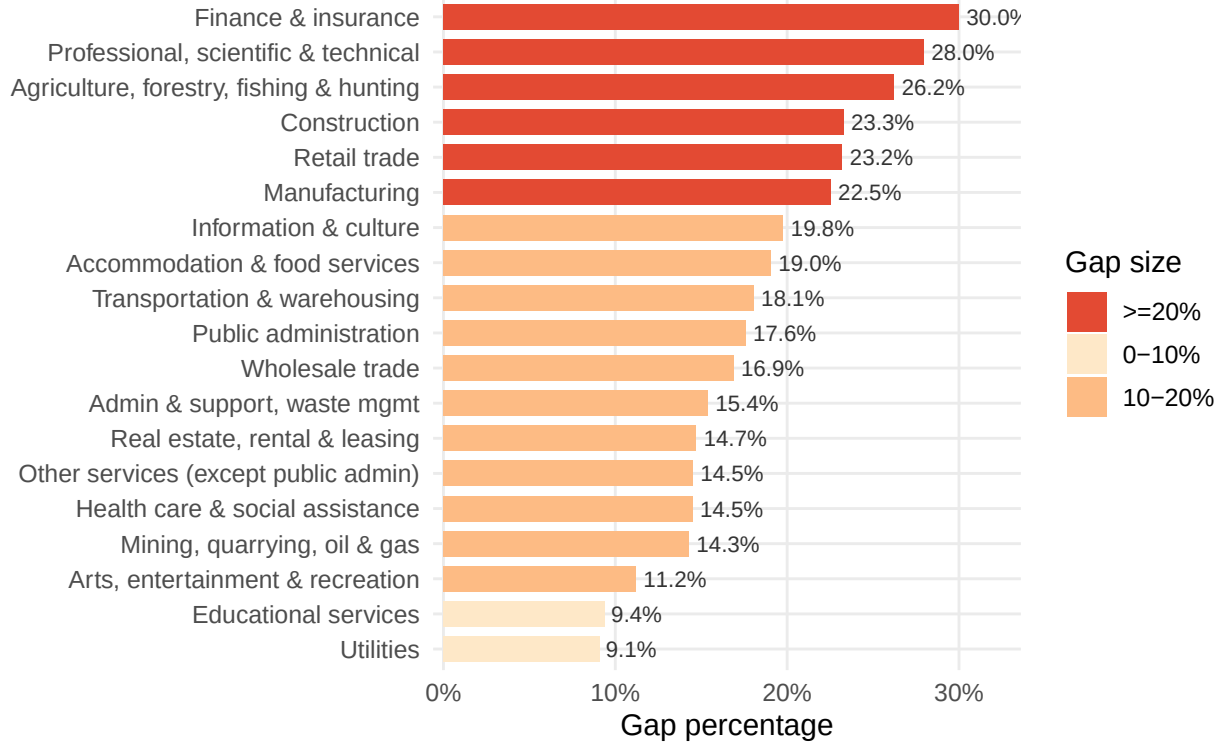


Figure shows the gender pay gap by industry for full-time, full-year workers. Gaps exist across all sectors, ranging from 9% to 30%. Finance & insurance is among the highest.

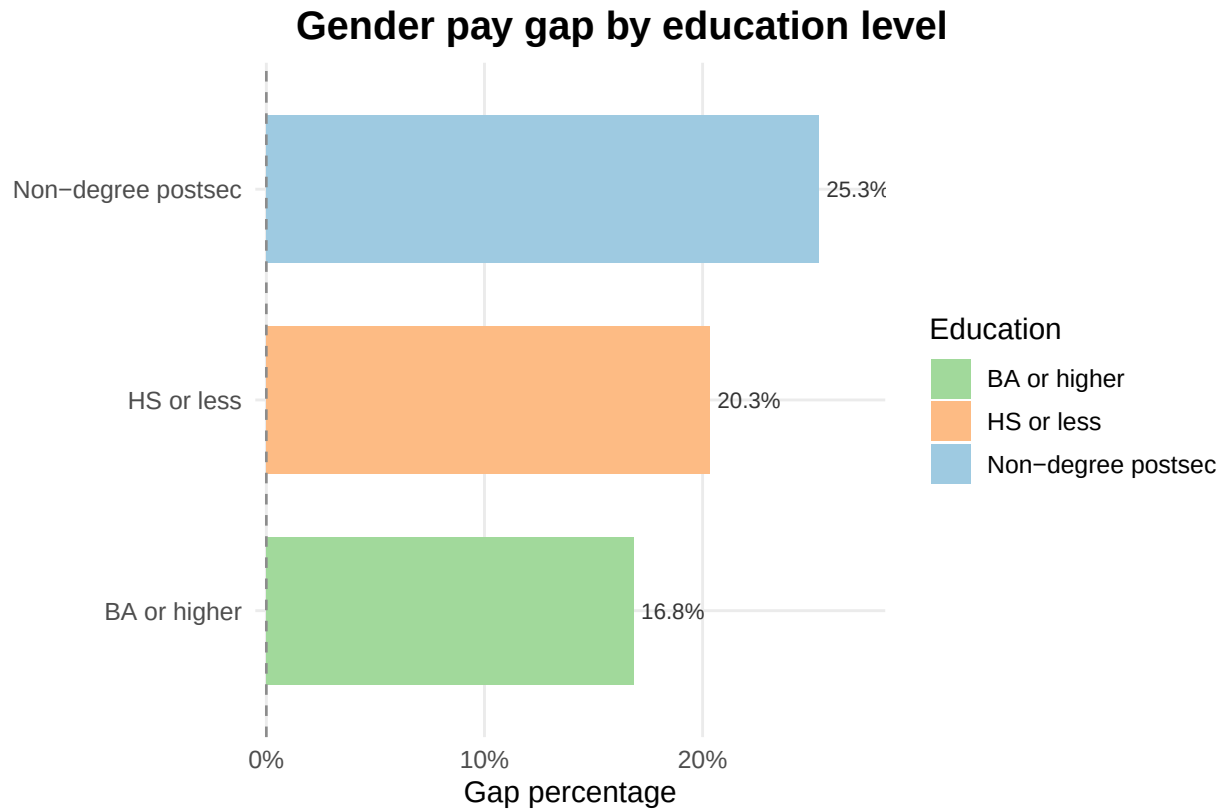


Figure shows the gender pay gap by education level. The gap is largest among those with non-degree postsecor credentials (25.3%) and smallest among those with a bachelor's degree or higher (16.8%).

If education cannot fully explain the difference, what does? To find out, the answer may lie in a more personal yet universal moment, childbirth.

3 Turning point at age 30:

When plotting the wage gap between men and women across age, a distinct pattern begins to appear.

Canada's gender pay gap by age (2021)

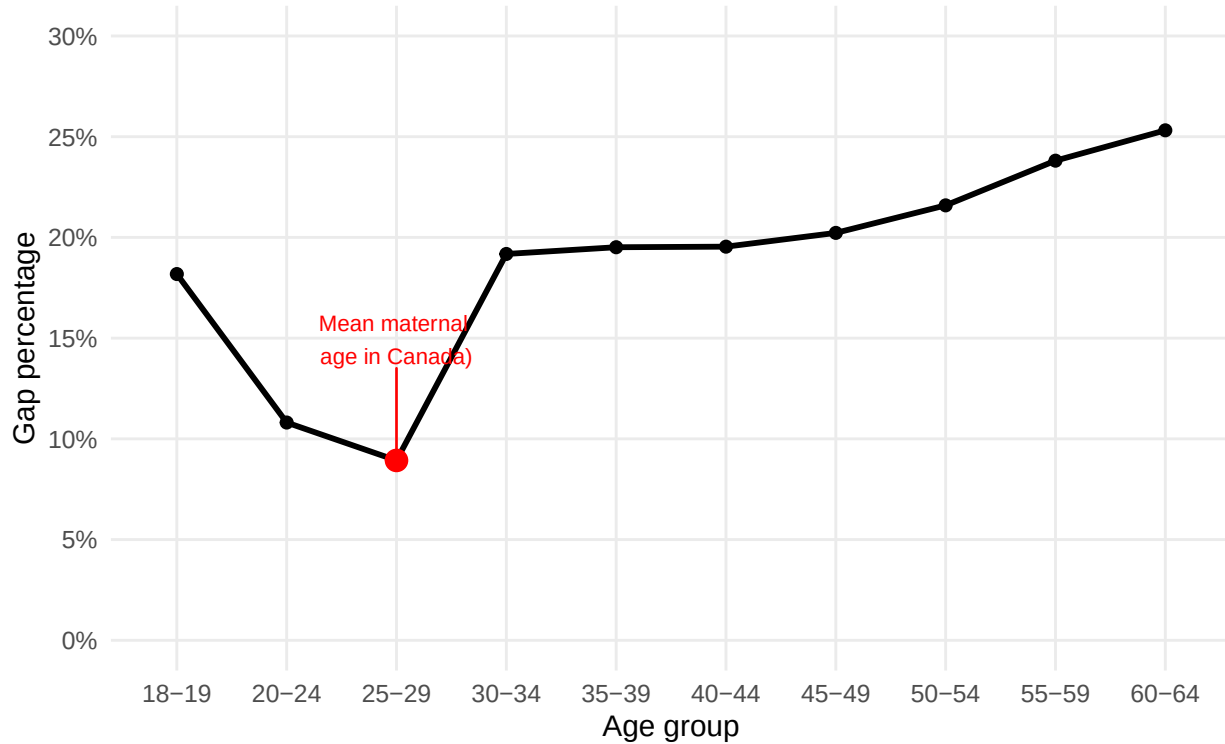


Figure shows the gender pay gap by age for full-time, full-year workers. The gap narrows in the early 20s, then rises sharply from 25–30 and continues to increase steadily thereafter.

Before age 30, the pay gap between men and women narrows rapidly as both gain experience and move up early in their careers. However, after 30, this trend reverses, the gap begins to widen steadily with age. Coincidentally, age 30 also corresponds to Canada's average maternal age for first-time mothers. This turning point might suggest that while early career growth helps women catch up to men in earnings, the onset of motherhood often marks a shift. The data seem to tell a familiar story, after becoming mothers, women usually shift the focus of their lives to their children and family, thus losing some opportunities for promotion or salary increase.

It is also important to recognize that childbirth affects women not only through changes in wages, but also through changes in labour participation itself. After becoming mothers, some women temporarily or permanently leave the workforce to take on domestic and caregiving responsibilities. These women are often classified as “not employed”. Therefore, to fully understand the impact of motherhood on economic inequality, it is necessary to examine both groups, women who remain in paid employment and women who exit the labour market after childbirth. By considering both wage differences among working women and unemployment patterns related to family responsibilities, it can capture a more complete picture of how motherhood affects the outcomes of women's career and economies.

4 Implications for career women:

Among employed individuals, the gender gap in earnings widens sharply after parenthood. As shown in Figure, among workers without children, women earn about 13% less than men, but after having children, the gap expands to roughly 21%. This pattern suggests that while a gender pay gap already exists before parenthood, it becomes substantially larger once children enter the picture, which suggests that having children can exacerbate pay inequality in the workplace.

Furthermore, the impact of having children on earnings moves in opposite directions for men and women. Men

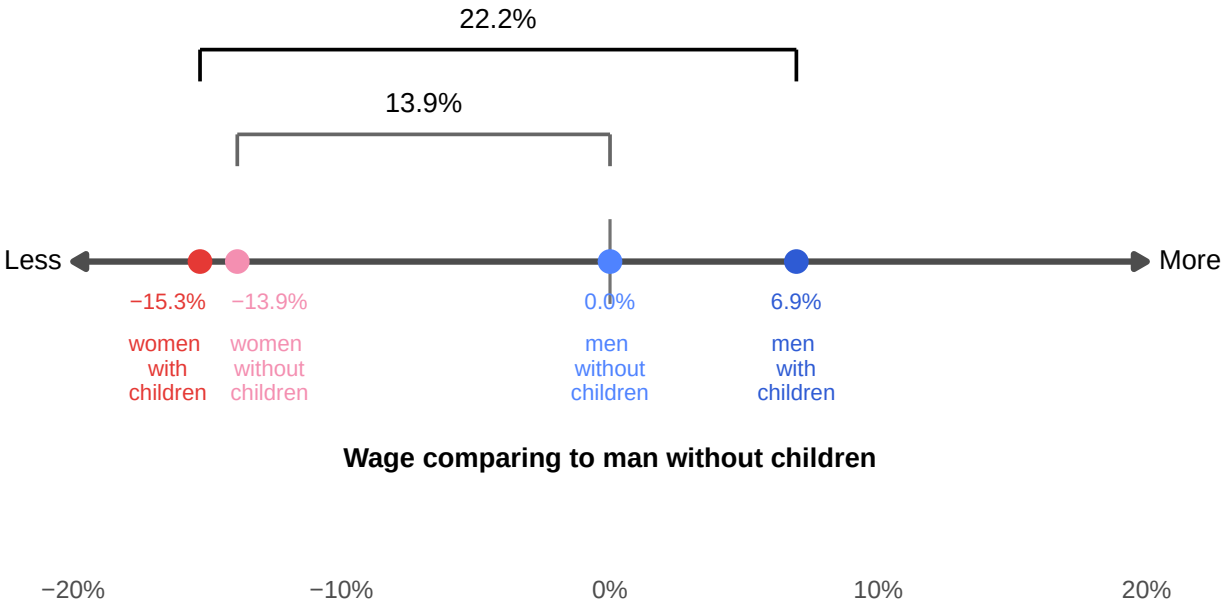
with children earn about 7% more than men without children, as many employers tend to view fathers as more stable, responsible, and committed. These qualities can translate into higher pay and faster promotions(5).

In contrast with men, women without children earn about 13% less than men without children, but after having children, women earn around 15% less. The increasing wage gap after having a child may reflect cultural biases toward mothers, which to be seen as a good mother they are expected to prioritize family over career, but to be viewed as a “Good leader,” they must do the opposite. Under such contradiction, many mothers deviate from traditional career paths by reducing their working hours or leaving the workforce indefinitely, all of which negatively affects their chances of career advancement. The starkly different career situations of women and men after having children illustrate that gender stereotypes and unfairness in the workplace still exist, exacerbating the gender wage gap.

5 Unemployment due to childbirth:

While the gender pay gap widens around the mean maternal age, the impact of childbirth is also reflected in women’s unemployment patterns. The first figure compares unemployment rates among women with and without children. The dark red line shows that women with children consistently face higher unemployment rates, particularly between ages 25 and 45. This is because, in addition to childbirth, women in this age group are more likely to take on caregiving responsibilities for children under the age of 15 (6). In contrast, women without children experience a much sharper decline in unemployment after their early twenties and maintain relatively stable employment throughout midlife.

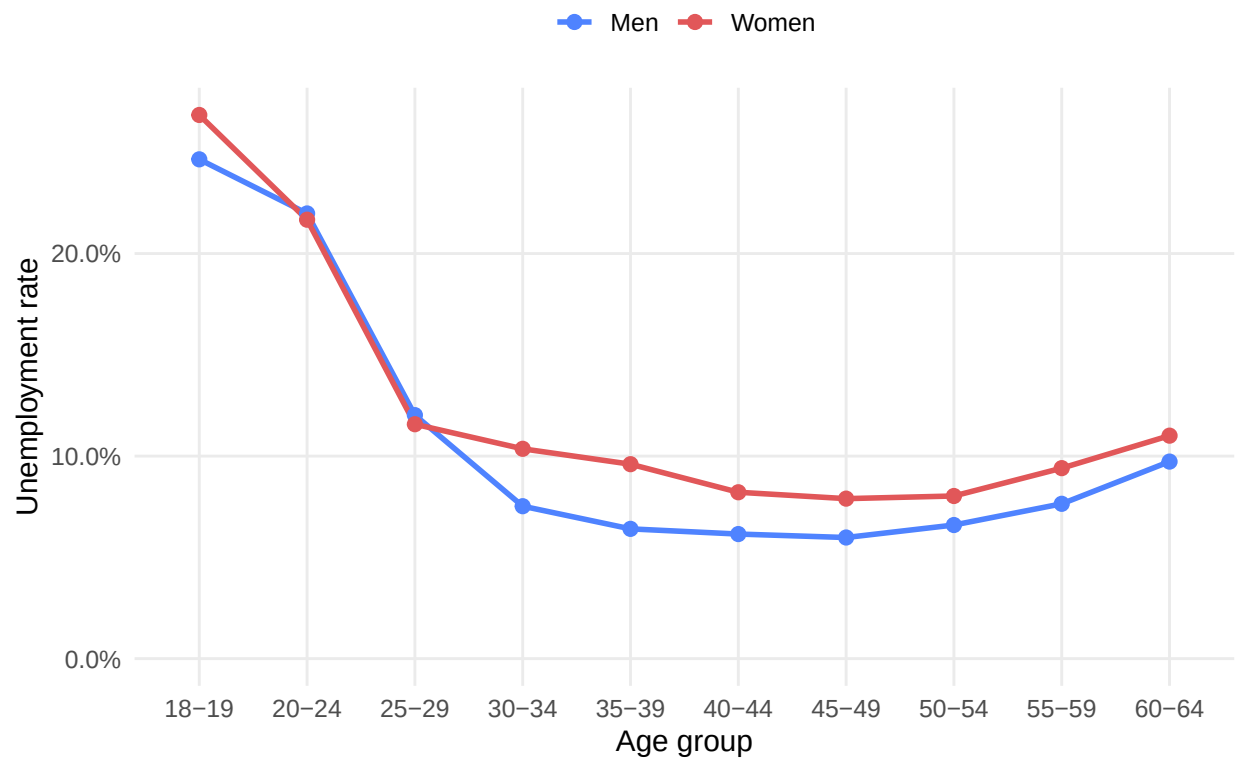
How parenthood shapes the gender wage gap relative to men wi (ages 25–44)



Top line: wage gaps for men (with vs. without children); bottom line: wage gaps for women relative to men without children. Parenthood is associated with a wage premium for men and a pronounced penalty for women—largest for women with children.

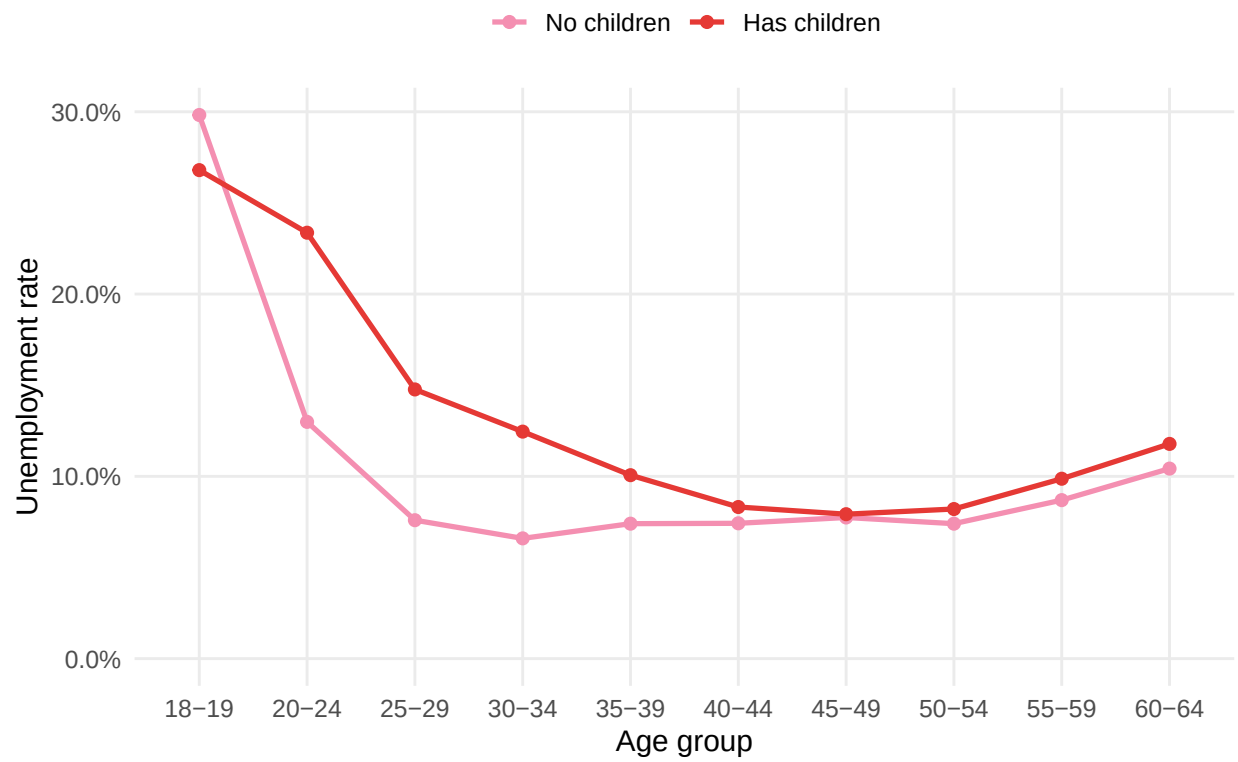
Unemployment rate by age

Among the labour force (employed + unemployed), ages 25–64



Unemployment rate by age among women: with vs. without children

Rate = Unemployed / (Employed + Unemployed) within each age group



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